Figure 7.17 ■ Bitcoin's Sharpe ratio compared to major U.S. stock indices since the start of Mt. Gox
Data sourced from Bloomberg and CoinDesk

Once again, this chart reveals how absolute returns are tempered by volatility when calculating the Sharpe ratio. Although bitcoin's Sharpe ratio is roughly 60 percent higher than the three broad market indices, this is a far cry from its absolute returns, which were roughly 20 times greater than the broad market indices on an annual basis during the same period.

In Figure 7.18 we compare bitcoin's Sharpe ratio in 2016 to that of the broad market indices. Because 2016 was bitcoin's lowest year of volatility (in the range of a small- to mid-cap stock), it is the most appropriate period to compare it to equities. What's most surprising is bitcoin's Sharpe ratio in 2016 was almost as high as its overall Sharpe ratio since the launch of Mt. Gox, the first exchange that gave mainstream investors access to bitcoin (1.65 for 2016 vs. 1.66 since Mt. Gox).